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4QFY25 Result Update

Jamna Auto Industries

Stable performance, focus on AM and export continues...

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Jamna Auto Industries

Stable performance, focus on AM and export continues...

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CMP (Rs): 90	Market cap. (Rs bn): 36	Target price (Rs): 117	Maintain BUY

Performance Summary/What stood out

Jamna Auto Industries' (JAI) revenue stayed flat at Rs 6.4 bn as lower steel prices offset ~6% volume growth. EBITDA margin fell by 80 bps to 13.1%, and PAT declined by 8.1% YoY. Strong FCF of Rs 1.9 bn drove net cash position of Rs 172 mn. Core RoCE rose to 34.4% on reduced working capital.

Outlook and Valuation

Going forward, the company is expected to outperform the industry growth and improve the contribution margins due to various triggers: 1) Improvement in revenue mix towards parabolic springs (better margin product). 2) Increasing value content per vehicle in the CV segment (by focusing on non-springs including trailer suspension products – both in OEM+ After Market (AM)). 3) Focusing on AM segment (in both springs and non-springs including trailer suspension product and both domestic and exports market) for better margins and reducing cyclicality. 4) Commencement of sales from new integrated suspension plant with in-house axles and rubber components.

We expect the earnings to remain flat in FY26 (due to lower CV industry volumes) and an earnings growth of ~17% from FY26E base to FY27E, supported by expected moderate growth in CV industry and higher share of business from AM segment/exports. Considering the increase in value content per vehicle, supported by new product launches in the suspension segment, lean fixed cost structure, focus on after-market (which is non-cyclical – Management focus on increasing the current non-OEM PBT mix of 25%), ramp-up of exports, maintaining high dividend payout of 40.0%+ and strong balance sheet, we remain positive on the company. At the current market price of Rs 90, the stock is trading at 16.9x FY27E earnings. We maintain Buy rating on the stock with a revised target price of Rs 117 as compared to earlier target price of Rs 132 (due to slower than expected industry growth).

Key triggers in the next 24 months: Increase in after-market sales mix, exports and commencement of new products in suspension segment.

What has changed in estimates

We have cut FY26E earnings by 13% and FY27E earnings by 11%, due to slower-than-expected industry growth.

Financial highlights (Consolidated)

(Rs mn)	4QFY24	4QFY25	YoY (%)	3QFY25	QoQ (%)
Net sales	6,401	6,377	(0.4)	5,625	13.4
EBITDA	887	835	(5.9)	771	8.2
EBITDA margin (%)	13.9	13.1	(76 bps)	13.7	(62 bps)
Other income	6	14	141.9	10	38.9
Interest	(12)	(14)	9.3	(8)	67.0
Depreciation	(101)	(112)	11.6	(141)	(20.4)
PBT	780	723	(7.3)	632	14.4
Tax	(232)	(219)	(5.4)	(194)	13.3
Reported PAT	548	503	(8.1)	438	14.8
Adjusted PAT	548	503	(8.1)	438	14.8
Adjusted EPS (Rs)	1.4	1.3	(8.1)	1.1	14.8

Key variables

	Improvement on (%)	
	B&K est.	Consensus
Net sales	5.6	NA
EBITDA	(2.0)	NA
Adjusted PAT	(2.8)	NA

Valuations	FY25	FY26E	FY27E
P/E (x)	19.9	19.8	16.9
P/B (x)	3.6	3.3	3.0
EV/EBITDA (x)	11.8	12.1	10.2
Key Ratio			
RoE (%)	19.0	17.4	18.6
Liquidity Ratio			
Net D/E (x)	0.0	0.1	0.0

Detailed highlights

P&L and Key metrics

- Despite ~6% growth in overall volumes (including double-digit volume growth from AM segment), JAI reported consolidated revenue at Rs 6.4 bn (flat YoY) due to decline in realisations by ~5% on account of fall in steel prices. **AM mix remained flat YoY at 23% of total sales. Revenue from new products stood at 47%, increased by 100 bps YoY.**
- **JAI reported operating profits at Rs 835 mn, down by 5.9% YoY.** EBITDA margins stood at 13.1%, down by 80 bps YoY due to higher employee costs – which increased by 50 bps YoY due to inflation and higher other expenses up by 60 bps YoY due to lower fixed cost absorption. This was partly offset by gross margin expansion by 30 bps due to drop in raw material costs and higher revenue mix from new products.
- JAI reported **profit at Rs 503 mn, down by 8.1% YoY, primarily due to lower operational profits and higher depreciation of Rs 112 mn (up by 11.6%).**
- Promoter holding for the quarter remained flat at ~50% **(Pledged shares are 1.52% of promoter holding, flat QoQ)**.

Consolidated Balance Sheet and Cash Flows

- Net cash conversion days decreased by 24 days to 30 days in FY25, primarily on account of increase in supplier's acceptances.
- The company reported FCF at Rs 1.9 bn for FY25 (as against negative Rs 271 mn in FY24), primarily due to lower working capital requirements. **47% of the FCF was used to pay dividends**, 16% was used to repay debt, 4% for other purposes and balance 34% led to increase in cash/bank balance.
- The company reported net cash status at Rs 172 mn as against net debt of Rs 781 mn in FY24.
- The company reported core RoCE (Pre-Tax) of 34.4% as against 31.6% in FY24, primarily due to sharp reduction in working capital requirements.

Other highlights

- The board has approved setting up of an integrated suspension system plant for an amount of Rs 1.45 bn with in-house Axles and Rubber Components manufacturing at Indore (with proposed capacity of 24k units for suspension system and 24 lakh units for rubber components), Madhya Pradesh. The project will be set up under subsidiary company i.e. Jai Automotive Components. Commercial production is expected to commence from December 2026. The capex will be entirely funded through internal accruals. The key rationale for entering into new products are:
  - Increased capacity for suspension systems of Group.
  - Import substitution: Reduce reliance on imported axles.
  - Backward integration for rubber components.
  - Aftermarket advantage: Improved quality of bushes, bolsters, etc.
  - Stronger value chain control and reduced vendor dependency.
  - Cost efficiency.
  - Market positioning.

The following are the capex plans of the company

Location	Product	Total planned capex (Rs mn)	Total capex spent till 4QFY25 (Rs mn)	Expected capex for FY26E (Rs mn)	Expected date of commissioning
Indore	Ubolt	500	500	–	2QFY26
Adityapur	Parabolic Springs	2,200	2,000	200	2QFY26
Indore	Leaf & Parabolic Springs	1,260	200	1,000	End of 4QFY26
	Rubber & Suspension	1,450	–	750	Beginning of 4QFY27
Total		**5,410**	**2,700**	**1,950**	

Note: Maintenance capex for FY26 is estimated to be at Rs 400 mn, which is incremental to the capex mentioned above.

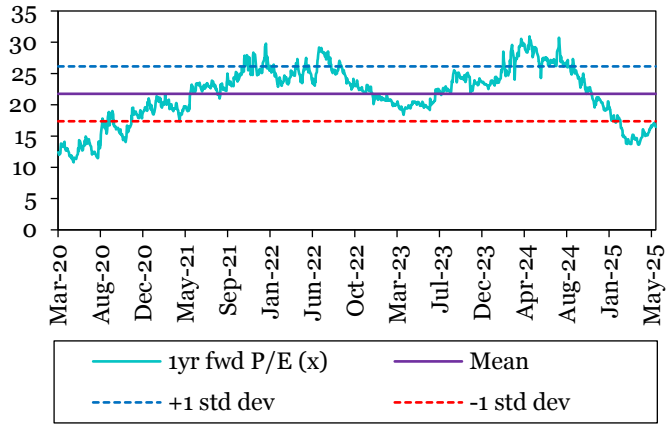
Note: Balance organic growth capex is expected to be spent in FY27E.

Peer comparison

Peer comparison – 4QFY25 (compared with 4QFY24)			
Particulars (Performance) – 100% CV players (Rs mn)	**ZF Commercial Vehicles (ZFCV)**	**Jamna Auto (JAI)**	**Automotive Axles (AAL)**
	4QFY25		
Net sales	10,119	6,377	5,596
Net sales growth (%)	**5.6**	**(0.4)**	**(2.1)**
Gross profit	4,228	2,293	1,623
Gross profit margin (%)	**41.8**	**36.0**	**29.0**
Gross margin increase/(decrease) – bps	***220 bps***	***30 bps***	***20 bps***
EBITDA	*1,751*	*835*	626
EBITDA margin (%)	***17.3***	***13.1***	***11.2***
EBITDA margin increase/(decrease) – bps	***210***	***(80)***	–
PBT	1,689	723	618
PBT margin (%)	***16.7***	***11.3***	***11.0***
PBT margin increase/(decrease) – bps	***250***	***(90)***	***70***
Incremental revenue YoY	*532*	*(24)*	*(119)*
Incremental PBT YoY	*327*	*(57)*	*(11)*
Margin for incremental nos.	***61.4***	–	–
CV Industry growth (%)	**3.3**		
MHCV production (%) (>7.5 tonnes)	**11.2**		
LCV production (%) (<7.5 tonnes)	**(1.4)**		

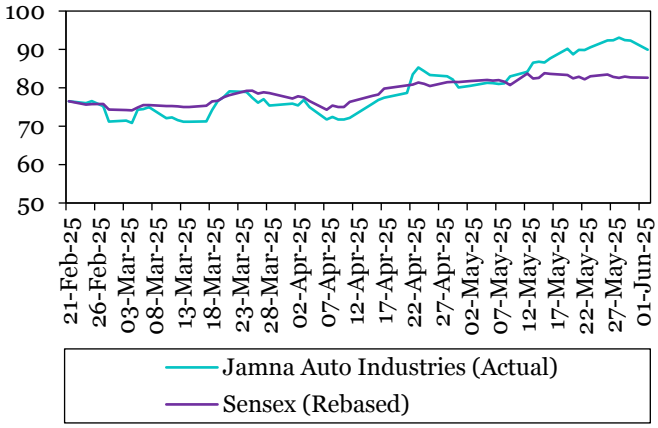
Source: Company

One-year forward PE



Source: B&K Research

Relative performance



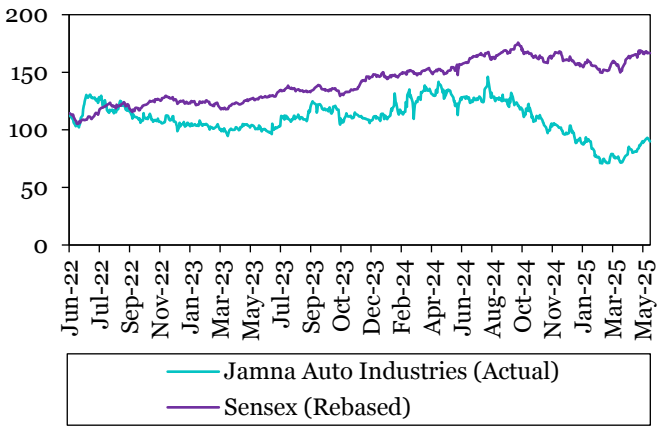
Source: B&K Research

Major shareholders (%)

	Dec-24	Mar-25	Change
Promoters	49.9	49.9	0.0
GOI	0.0	0.0	0.0
FIIs	4.3	2.8	(1.5)
MFs	4.3	5.5	1.2
BFSI's	0.1	0.1	0.0
Public & Others	41.4	41.7	0.3
Pledge	1.5	1.5	0.0

Source: B&K Research

Relative to Sensex 3 Years



Source: B&K Research

Financial Summary (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E
Net sales	**24,268**	**22,701**	**23,127**	**25,422**
Growth (%)	*4.4*	*(6.5)*	*1.9*	*9.9*
Raw material	(15,492)	(14,207)	(14,454)	(15,889)
Gross profit	**8,776**	**8,495**	**8,673**	**9,533**
Employee cost	(1,686)	(1,791)	(1,920)	(2,110)
Other expenditure	(3,817)	(3,688)	(3,723)	(3,940)
Other operating income	–	–	–	–
EBITDA	**3,273**	**3,015**	**3,030**	**3,483**
Growth (%)	*25.2*	*(7.9)*	*0.5*	*15.0*
Depreciation	(442)	(472)	(574)	(631)
Other income	40	49	78	78
EBIT	**2,870**	**2,592**	**2,533**	**2,930**
Finance cost	(38)	(35)	(35)	–
Exceptional income/(expense)	–	–	–	–
Profit before tax	**2,833**	**2,558**	**2,498**	**2,930**
Tax (current + deferred)	(778)	(754)	(687)	(806)
Profit/(loss) for the year	**2,054**	**1,803**	**1,811**	**2,124**
P/L of JV/A, minority interest	–	–	–	–
Reported profit/(loss)	**2,054**	**1,803**	**1,811**	**2,124**
Adjusted net profit/(loss)	**2,054**	**1,803**	**1,811**	**2,124**

Balance Sheet

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E
Share Capital	399	399	399	399
Reserves & surplus	8,633	9,533	10,468	11,597
Shareholders' funds	**9,032**	**9,932**	**10,867**	**11,996**
Minority interest	–	–	–	–
Long-term borrowings	–	–	–	–
Other non-current liabilities	354	381	381	381
Total non-current liab.	**354**	**381**	**381**	**381**
Short-term borrowings	1,585	1,274	1,000	–
Trade payables	1,881	2,905	2,955	3,262
Other current liabilities	647	756	756	756
Total current liabilities	**4,113**	**4,934**	**4,711**	**4,017**
Total (Equity & Liab.)	**13,498**	**15,247**	**15,959**	**16,393**
Fixed assets (net block)	5,890	7,791	9,554	9,554
Non-current investments	0	29	29	29
Other non-current assets	1,055	671	671	671
Non-current assets	**6,945**	**8,491**	**10,253**	**10,253**
Cash and cash equivalents	804	1,446	304	259
Inventories	3,579	3,183	3,247	3,570
Trade receivables	1,853	1,558	1,584	1,741
Other current assets	316	570	570	570
Current assets	**6,553**	**6,756**	**5,705**	**6,140**
Total (Assets)	**13,498**	**15,247**	**15,959**	**16,393**

Cash Flow

Y/E Mar (Rs mn)	FY24	FY25	FY26E	FY27E
Profit before tax	2,833	2,558	2,498	2,930
Depreciation	442	472	574	631
Change in working capital	(1,018)	1,599	(41)	(173)
Total tax paid	(818)	(777)	(687)	(806)
Others	38	35	35	–
CF from operations (a)	**1,477**	**3,885**	**2,379**	**2,582**
Capital expenditure	(1,431)	(2,373)	(2,337)	(631)
Change in investments	–	–	–	–
Others	(291)	340	–	–
CF from investing (b)	**(1,723)**	**(2,033)**	**(2,337)**	**(631)**
Free cash flow	**45**	**1,513**	**43**	**1,951**
Equity raised/(repaid)	0	–	–	–
Debt raised/(repaid)	1,393	(311)	(274)	(1,000)
Dividend (excl. tax)	(956)	(836)	(876)	(995)
Others	47	(64)	(35)	–
CF from financing (c)	**485**	**(1,211)**	**(1,185)**	**(1,995)**
Net change in cash (a+b+c)	**239**	**641**	**(1,142)**	**(45)**

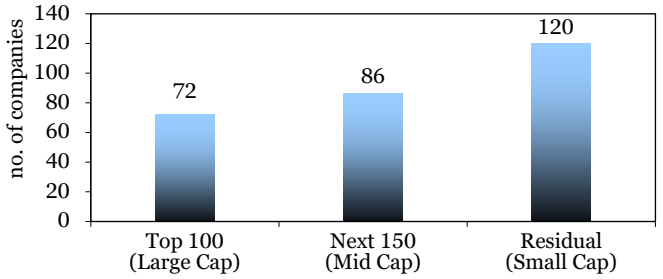
Key Ratios

Y/E Mar (%)	FY24	FY25	FY26E	FY27E
Adjusted EPS (Rs)	5.2	4.5	4.5	5.3
Growth	*22.0*	*(12.2)*	*0.4*	*17.3*
Book NAV/share (Rs)	22.7	24.9	27.3	30.1
Dividend payout ratio	46.5	46.4	48.4	46.9
Gross margin	36.2	37.4	37.5	37.5
EBITDA margin	13.5	13.3	13.1	13.7
EBIT margin	11.8	11.4	11.0	11.5
Tax rate	27.5	29.5	27.5	27.5
RoCE	29.7	23.0	21.3	23.8
RoE	24.3	19.0	17.4	18.6
RoIC (post-tax)	23.1	18.0	16.7	17.7
Net debt/equity (x)	0.1	0.0	0.1	0.0
Net debt/EBITDA (x)	0.2	(0.1)	0.2	(0.1)
Fixed asset turnover (x)	2.0	1.6	1.5	1.6
Net working capital days	36.7	29.3	15.7	30.5

Valuations

Y/E (x)	FY24	FY25	FY26E	FY27E
P/E	17.4	19.9	19.8	16.9
P/B	4.0	3.6	3.3	3.0
Dividend yield (%)	2.7	2.3	2.4	2.8
EV/EBITDA	11.2	11.8	12.1	10.2
EV/Sales	1.5	1.6	1.6	1.4

B&K Universe Profile – by AMFI Definition



B&K Investment Ratings

	LARGE CAP (Market Cap > US$ 2 bn)	MID & SMALL CAP (Market Cap < US$ 2 bn)
BUY	>+15%	>+20%
HOLD	+15% to -10 %	+20% to -15 %
SELL	<-10%	<-15%

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